

**Court No. - 2**

**Case :-** WRIT - C No. - 38 of 2009

**Petitioner :-** Tehri Girders Ltd. And Another

**Respondent :-** Pvvnl And Others

**Petitioner Counsel :-** B.C. Rai

**Respondent Counsel :-** H.P. Dube, Pankaj Kumar Shukla, Pankaj Shukla

**Hon'ble Ashok Bhushan, J.**

**Hon'ble Ran Vijai Singh, J.**

Put up on 21/8/2009.

**Order Date :-** 17.8.2009

SB

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**Hon'ble Ashok Bhushan,J.**

**Hon'ble Ram Autar Singh,J.**

As prayed, put up this writ petition along with other connected matters on 31st August, 2009 at 2.00 P.M for admission/final disposal.

**Order Date :-** 21.8.2009

Rakesh

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**Respondent :-** Pvvnl And Others

**Petitioner Counsel :-** B.C. Rai

**Respondent Counsel :-** H.P. Dube, Pankaj Kumar Shukla, Pankaj Shukla

**Hon'ble Ashok Bhushan, J.**

**Hon'ble Ram Autar Singh, J.**

As prayed, put up tomorrow.

**Order Date :-** 8.9.2009

Rakesh

**Reserved on 09.09.2009.**  
**Delivered on 15.10.2009.**

Civil Misc. Writ Petition No. 38 of 2009.

Tehri Girders Limited and another ..... Petitioners  
Versus  
Paschimanchal Vidyut Vitran Nigam Limited  
and others ..... Respondents.

**With**

Civil Misc. Writ Petition No. 27186 of 2009.

M/s R.A. Castings (Pvt.) Limited ..... Petitioner  
Versus  
Paschimanchal Vidyut Vitran Nigam Limited  
and others ..... Respondents.

**With**

Civil Misc. Writ Petition No. 24557 of 2009.

M/s Sikka Papers Limited ..... Petitioner  
Versus  
Paschimanchal Vidyut Vitran Nigam Limited  
and others ..... Respondents.

**With**

Civil Misc. Writ Petition No. 41222 of 2009.

M/s Parijat Paper Mills Ltd. .... Petitioner  
Versus  
Paschimanchal Vidyut Vitran Nigam Limited  
and others ..... Respondents.

**With**

Civil Misc. Writ Petition No. 32452 of 2009.

M/s Mahalaxmi Krafts and Tissues Pvt. Ltd.  
and another ..... Petitioners  
Versus  
Paschimanchal Vidyut Vitran Nigam Limited  
and others ..... Respondents.

.....

**Hon'ble Ashok Bhushan, J.**  
**Hon'ble R.A. Singh, J.**

(Delivered by Hon'ble Ashok Bhushan, J.)

All these writ petitions raise common issues and have been heard together. Pleadings are complete in Writ Petition No.38 of 2009,

which is treated to be leading writ petition. Counsel for the parties agree that all the writ petitions be finally decided.

We have heard Sri B.C. Rai, learned counsel for the petitioners in first two writ petitions and Sri Mayank Agarwal, learned counsel for the petitioners in rest of the writ petitions. Sri Ravi Kant, Senior Advocate, assisted by Sri Pankaj Kumar Shukla has been heard for the Paschimanchal Vidyut Vitran Nigam Limited.

The facts of Writ Petition No.38 of 2009 are to be noted in some detail. The contracted load of the petitioners in the year 2007 was 5650 KVA. The petitioners made an application on 16.11.2007 for sanction and release of additional load of 2700 KVA. An order dated 25<sup>th</sup> February, 2008 was issued by the respondents sanctioning additional load. The order further required that additional security of Rs.67,38,050/- is required to be given with regard to which bank guarantee be submitted. The petitioners claim to have protested against the demand of additional security, which has already been stayed by this Court in Writ Petition No.53238 of 2006. The petitioner was asked to submit bank guarantee and in the meantime respondent No.2 stated that he would seek clarification in the matter. The petitioner submitted the bank guarantee on 4<sup>th</sup> April, 2008. The petitioner subsequently moved an application on 26<sup>th</sup> May, 2008 for release of the bank guarantee. A writ petition being Writ Petition No.50353 of 2008 was filed questioning the demand of the bank guarantee, which was disposed of on 24<sup>th</sup> September, 2008 directing the Executive Engineer to pass appropriate order on the petitioners' representation in accordance with law. An order dated 17<sup>th</sup> November, 2008 has been issued by respondent No.2 deciding the representation refusing to release the bank guarantee. The Executive Engineer has referred to letter dated 6<sup>th</sup> October, 2008 of State Electricity Regulatory Commission clarifying that in case additional security is not deposited, the same will come within the category of arrear. Reliance was placed on Clause 4.49 of U.P. Electricity Supply Code 2005. The petitioners have filed the present writ petition (first writ petition) for following relief:-

*“a) issue a writ, order or direction in the nature of certiorari calling for the records and to quash the*

*letters/orders dated 06.10.2008 and 17.11.2008 (Annexure Nos.6 and 6 to the writ petition) issued by the Respondent Nos.4 and 2.*

*b) issue a writ order or direction in the nature of certiorari declaring that the Note No.2 of office memorandum dated 25.02.2008 (Annexure No.1 to the writ petition) in so far it requires the petitioners to submit bank guarantee equivalent to the amount of additional security already stayed by the Hon'ble Court as totally illegal and to quash the same same and the Respondent No.2 be directed to release the bank guarantee in favour of the petitioners."*

A counter affidavit has been filed by the Corporation reiterating the stand taken in the letter dated 17<sup>th</sup> November, 2008. It has been submitted that the petitioners themselves have submitted the bank guarantee. Letter dated 6<sup>th</sup> October, 2008 of State Electricity Regulatory Commission has been referred to. It has been stated that letter dated 25<sup>th</sup> February, 2008 itself contemplates that if there are any dues on the consumer, the consumer shall submit bank guarantee of equal amount of pending dues. A rejoinder affidavit has been filed by the petitioners reiterating the stand taken in the writ petition. It has been pleaded that Clause 4.49 is applicable in so far as it relates to dues of electricity and it cannot be applied in case of security/additional security.

The facts of Writ Petition Nos.27186 of 2009 as well as 24557 of 2009 are almost similar. In Writ Petition No. 27186 of 2009 letter dated 12<sup>th</sup> February, 2009 by which petitioner was asked to renew the bank guarantee, has been challenged along with challenging the Note No.2 of the office memorandum dated 25<sup>th</sup> February, 2008 requiring the petitioner to furnish bank guarantee for release of additional load. In Writ Petition No.24557 of 2009 the order dated 22<sup>nd</sup> September, 2008 (Annexure-4 to the writ petition) has been challenged by which the petitioner was asked to deposit bank guarantee for additional security of Rs.27.67 lacs with regard to which writ petition is pending in the High Court.

In Writ Petition No.41222 of 2009 order dated 22<sup>nd</sup> July, 2009 has been challenged by which order the petitioner has been asked to submit bank guarantee with regard to; (a) an amount of Rs.13,56,502.00 (load

factor rebate) and (b) an amount of Rs.46,08,600/- (additional security). Writ Petition No.32452 of 2009 has been filed challenging Clause No.4 of the order dated 29<sup>th</sup> June, 2009 by which the petitioner was asked to submit bank guarantee with regard to an amount of Rs.13,31,106/-, which amount relates to withdrawal of load factor rebate.

From the facts noted above, it is clear that in all the above writ petitions except Writ Petition No.41222 of 2009 the bank guarantee has been demanded for sanction of additional load for an amount which has already been stayed by this Court in different writ petitions filed by the petitioners.

Sri B.C. Rai, learned counsel for the petitioners, challenging the orders impugned raised following submissions in support of the writ petitions:-

(1) The additional load has been applied for and sanctioned in accordance with Clauses 4.43 and 4.49 of U.P. Electricity Supply Code 2005. The demand of additional security is not any dues on the petitioners, rather it is an additional security demanded under Section 47 of the the Electricity Act, 2003, which is in nature of advance payment to cover up the electricity charges for certain months. The additional security being not dues on the petitioners, Clause 4.49 of the the Electricity Act, 2003 is not applicable and no bank guarantee can be demanded from the petitioners. The order demanding bank guarantee is not in accordance with the provisions of the Electricity Act, 2003 and U.P. Electricity Supply Code 2005. The security/additional security is nothing but an amount under sub-section (1) of Section 47 read with Clause 4.20 of U.P. Electricity Supply Code 2005 as an advance consumption deposit and in case a person desires not to take supply it is refunded after making adjustment of outstanding arrears if any. The distribution licensee is obliged to pay interest on security/additional security.

(2) The additional security is not recoverable as a dues since the distribution licensee has right to refuse to give supply or to disconnect

the power supply in the event security/additional security has not been deposited by a consumer. The arrears of electricity dues is recoverable as arrears of land revenue whereas additional security being not a arrear is not recoverable as arrears of land revenue.

(3) A Division Bench of this Court in the case of ***Mirzapur Electric Supply Company Limited vs. The State of U.P. and others*** reported in A.I.R. 1975 (All.) 29 while considering similar provisions of Electricity Supply Act, 1948 has laid down that security is not owed as a debt to the electricity board and it is only an amount demanded as a condition to the supply. It is submitted that the law as laid down by the Division Bench of this Court in the said case is fully applicable and the amount of additional security cannot be treated as 'dues'. The letter dated 6<sup>th</sup> October, 2008 relied by the respondents is not an order issued by State Electricity Regulatory Commission but is an order issued by the Director (Licensing) State Electricity Regulatory Commission, who is not authorised to issue any order on behalf of the Commission. The letter dated 6<sup>th</sup> October, 2008 is on misconception that non deposit of additional security falls under arrears.

Sri Mayank Agarwal, learned counsel appearing for the petitioners in last three writ petitions, has also adopted the submissions made by Sri B.C. Rai and has further submitted that there is difference between security/additional security and the dues/arrears. It is submitted that Clause 4.49 is not attracted. Reliance has been placed on the Division Bench judgment of this Court in ***Mirzapur Electric Supply's*** case (supra), and in the case of ***M.P. State Electricity Board and another vs. Gras Industries Ltd.*** reported in A.I.R. 2008 S.C. 433 and in the case of ***State of Kerala and others vs. V.R. Kalliyankutty and another*** reported in (1999)3 S.C.C. 657.

Sri Ravi Kant, Senior Advocate, appearing for the respondents, refuting the submission of counsel for the petitioners, contended that Clause 4.49 is fully applicable since the deposit of security is mandatory and petitioners having deposited the security unconditionally they cannot be heard challenging the demand. He, however, submits that

reliance on Clause 4.49 of U.P. Electricity Supply Code 2005 is misplaced. The additional security is not an arrear but a mandatory deposit. He submits that additional load was sanctioned on consent given by the petitioners. He further submits that representation of the petitioner in Writ Petition No.38 of 2009 has rightly been rejected after considering all relevant facts and the order contains valid reasons, which does not warrant any interference in exercise of writ jurisdiction.

We have considered the submissions of learned counsel for the parties and have perused the record.

The principal issue, which has arisen for consideration in these writ petitions, is as to whether for a demand of additional security, which has already been stayed by this Court in different writ petitions filed by the petitioners, the demand of bank guarantee for an equal amount is in accordance with the provisions of the Electricity Act, 2003 and U.P. Electricity Supply Code 2005?

Before we proceed to consider the respective submission, it is necessary to look into the relevant provisions of the Electricity Act, 2003 and U.P. Electricity Supply Code 2005.

Part-VI of the Electricity Act, 2003 deals with distribution of electricity. Section 45 provides for power to recover charges, Section 46 relates to power to recover expenditure and Section 47 deals with power to require security. Sections 45, 46 and 47 of the Electricity Act, 2003 are quoted below:-

**45. Power to recover charges.-** (1) *Subject to the provisions of this section, the prices to be charged by a distribution licensee for the supply of electricity by him in pursuance of section 43 shall be in accordance with such tariffs fixed from time to time and conditions of his licence.*

(2) *The charges for electricity supplied by a distribution licensee shall be -*

*(a) fixed in accordance with the methods and the principles as may be specified by the*

*concerned State Commission ;*

*(b) published in such manner so as to give adequate publicity for such charges and prices.*

*(3) The charges for electricity supplied by a distribution licensee may include -*

*(a) a fixed charge in addition to the charge for the actual electricity supplied;*

*(b) a rent or other charges in respect of any electric meter or electrical plant provided by the distribution licensee.*

*(4) Subject to the provisions of section 62, in fixing charges under this section a distribution licensee shall not show undue preference to any person or class of persons or discrimination against any person or class of persons.*

*(5) The charges fixed by the distribution licensee shall be in accordance with the provisions of this Act and the regulations made in this behalf by the concerned State Commission.*

**46. Power to recover expenditure.-** *The State Commission may, by regulations, authorise a distribution licensee to charge from a person requiring a supply of electricity in pursuance of section 43 any expenses reasonably incurred in providing any electric line or electrical plant used for the purpose of giving that supply.*

**47. Power to require security.-** *(1) Subject to the provisions of this section, a distribution licensee may require any person, who requires a supply of electricity in pursuance of section 43, to give him reasonable security, as determined by regulations, for the payment to him of all monies which may become due to him -*

*(a) in respect of the electricity supplied to such persons; or*

*(b) where any electric line or electrical plant or electric meter is to be provided for supplying electricity to person, in respect of the provision of such line or plant or meter, and if that person fails to give such security, the distribution licensee may, if he thinks fit, refuse to give the supply or to provide the line or plant or*

*meter for the period during which the failure continues.*

*(2) Where any person has not given such security as is mentioned in subsection (1) or the security given by any person has become invalid or insufficient, the distribution licensee may, by notice, require that person, within thirty days after the service of the notice, to give him reasonable security for the payment of all monies which may become due to him in respect of the supply of electricity or provision of such line or plant or meter.*

*(3) If the person referred to in sub-section(2) fails to give such security, the distribution licensee may, if he thinks fit, discontinue the supply of electricity for the period during which the failure continues.*

*(4) The distribution licensee shall pay interest equivalent to the bank rate or more, as may be specified by the concerned State Commission, on the security referred to in sub-section (1) and refund such security on the request of the person who gave such security.*

*(5) A distribution licensee shall not be entitled to require security in pursuance of clause (a) of sub-section (1) if the person requiring the supply is prepared to take the supply through a pre-payment meter.*

The U.P. Electricity Supply Code 2005 has been framed under Section 181 of the Electricity Act, 2003. Clause 4.20 of the U.P. Electricity Supply Code 2005 provides for security deposit. Clause 4.20 of the Supply Code is quoted below:-

***“ 4.20. Security Deposit***

*(a) [A security deposit to cover the estimated power consumption for two months shall be made by all consumer / applicant.*

*(b) The estimated consumption and security deposit amount for different categories of new consumers shall be determined by the Licensee with the approval of the Commission.*

*(c) In case of enhancement of load, only additional security to cover the additional load (Load after enhancement minus existing load) shall need to be deposited.*

*(d) Deleted*

*(e) The Licensee may give notice to any consumer for deposit of additional security deposit if:*

*(i) The security deposit falls short of covering the estimated power consumption bill for 2 months based on his average monthly consumption for the preceding financial year.*

*(ii) In case of a new connection, additional security shall be demanded only after completion of one full financial year.*

*(iii) Only when the required additional security deposit payable by the consumer exceeds 10% of the existing security deposit, a demand for additional security deposit, shall be made.*

*(iv) The security deposit is reduced due to adjustment of outstanding dues.*

*(v) Security deposit has become invalid or insufficient due to any other reason.*

*(f) [The consumer shall deposit the additional security within 30 days after the service of the notice. If a person fails to give such security, the Licensee may discontinue supply of electricity for period during which failure continues. However, a maximum of three instalments, if considered prudent by the licensee, may be permitted.]*

*(g) If the existing security deposit is found to be in excess of more than 20% of the required security deposit, refund of the excess amount shall be made by adjustment in the ensuing bills within three billing cycles to the consumer.*

*(h) The security deposit shall be returned to consumer, upon termination of the agreement & finalization of permanent disconnection, and after adjustment of all dues, within 30 days. However, if the delay in payment exceeds 90 days, interest at bank rates of Reserve Bank of India, shall be payable to the consumer. In this regard it shall be the responsibility of the licensee to keep a watch on the bank rate from time to time.*

*(i) The Licensee shall pay interest on security deposit to the consumers at bank rate as on 1st April of applicable financial year by way of credit in the bill of the consumer in the months of April, or May or*

*June as per the applicable billing cycle. However, no interest shall be payable if the deposit is not made by way of cash, cheque or bank draft. The interest rates are subject to change as per the tariff orders of Commission from time to time.]*

*(j) The amount of security deposit shall be accepted in parts according to the phasing agreed for release of load in case of "Phased Contract Demand". The subsequent additional security amount shall be deposited 30 days prior to the release of additional load.*

*The Licensee shall energise no connection until the requisite security amount has been deposited by the applicant / consumer.*

*A distribution licensee shall not be entitled to require security in pursuance of this section, if the person requiring the supply is prepared to take the supply through a prepayment meter, as and when distribution licensee provides a choice to consumer to opt for supply through pre-payment meter."*

Paragraph 4.43 of U.P. Electricity Supply Code 2005 deals with enhancement of load. In the present case all the petitioners have made application for enhancement of the load. Paragraph 4.43(a), which is relevant for the purpose, is quoted below:-

***"4.43 Enhancement of Load for cases other than Public Lighting:***

*(a) Applications for enhancement of load shall be filed in duplicate to the concerned sub divisional officer of the Licensee in the prescribed form (Annexure 4.10) along with the following:*

*(i) Prescribed Registration-cum-processing fee as approved by the Commission from time to time.*

*(ii) Work completion certificate and Test report from a LEC (Licensed Electrical Contractor).*

*(iii) Letter of approval from the Electrical inspector, if required.*

*(iv) Copy of the paid, latest electricity bills/ arrears due.*

*(v) If matter related to dues is stayed by court, the procedure as per clause 4.49 may be followed.*

*(vi) [Addendum to the Agreement to act as supplementary to the main agreement duly filled and signed by the consumer.]*

Clause 4.43(v) states that if matter related to dues is stayed by the court, the procedure as per clause 4.49 may be followed. Paragraph 4.43 sub-clause (e) provides as under:-

*“(e) The application for enhancement of the sanctioned load will not be accepted if the consumer has any arrears of the licensee’s dues.”*

In the present case the respondents have demanded additional security referring to Clause 4.43(a)(v) read with Clause 4.49. Clause 4.49, which is relevant for the purpose, is as under:-

***“4.49 Permanent disconnection/Release of Connection/ Enhancement and Reduction of Load where arrears disputed are stayed by Court/ other forums :***

*Where there is a stay order by any Court, Forum Tribunal, or by Commission, staying the recovery of any dues by licensee, and during the operating period of any such order-*

- (i) If a consumer sells a premises and an application for release of new connection is made by the purchaser; or*
- (ii) If any application for new connection, reconnection, enhancement or reduction of load is made by a consumer; or*
- (iii) If any application for permanent disconnection is made by a consumer the licensee shall release the new connection to such consumer and also permit reconnection, reduction or enhancement of Loads, as well as allow permanent disconnection, subject to:-*
  - submission of Bank Guarantee to the satisfaction of licensee, of equivalent amount of pending dues, by the applicant or owner,*

*and,]*

- *agreement with licensee on terms of extension / invoking of guarantee, and*
- *levy of surcharge amount on pending dues, and the application of such consumers shall not be kept pending by the licensee.”*

The relevant words in Clause 4.49, which makes the clause applicable, are “where there is a stay order by any Court, Forum Tribunal, or by Commission staying the recovery of any dues....” The condition precedent for applicability of Clause 4.49 is recovery of any dues. The question to be considered is as to whether the demand of additional security can be treated to be any dues. It is necessary to look into the nature and character of additional deposit by way of additional security before it can be decided as to whether additional security is a dues or not. Sub-clause (1) of Section 47 of the Electricity Act, 2003 provides that a licensee may require any person, who require supply of electricity in pursuance of Section 43, to give him reasonable security as may be determined by regulations, for the payment to him of all monies which may become due to him – (a) in respect of the electricity supplied to such person; or (b) where any electric line or electrical plant or electric meter is to be provided for supplying electricity to such person, in respect of the provision of such line or plant or meter.

The U.P. Electricity Supply Code 2005 provides detail procedure for billing. Clause 6.1(a), (g) and (h), which are relevant in the present case, are quoted below:-

**“6.1 General Provisions :**

*(a) The billing cycle for different categories of consumers is specified at Annexure 3.1. The Licensee shall notify the date by which each category of consumer shall receive the bill, as per the billing cycle specified in this Code. Such notification shall be made by the Licensee every year or one month before any change is made in the date.*

*(b) .....*

*(c) .....*

*(g) The Licensee shall dispatch the bills giving at least 15 days time to the consumer for making payments prior to the due date of payment. Where the bills are served to the consumer through hand held system, the consumer shall deposit the same within 7 days. The Bill shall contain details of the energy consumption, various charges, due date of 52 payment, disconnection date, arrears, Security deposit details, rebates, extracts pertaining to consumer rights, Mode of payment and collection facilities, Telephone Nos. and address of Customer service, and call centers, where consumers can make bill related complaints, Telephone Nos. and address of Consumer Grievance redressal forums etc. In case of cheques and bank drafts, the receiving authority in whose favour the amount should be drawn should be clearly mentioned.*

*(h) Bills of each consumer shall clearly reflect the arrears and amount of current billing separately. It shall be obligatory on the part of consumers to pay his electricity bills on or before due date of payment.”*

The billing of the consumer is on account of consumption of energy as per tariff orders issued from time to time. Clause 6.7 provides for late payment surcharge. Clause 6.15 of U.P. Electricity Supply Code 2005 provides for recovery of arrears. Clause 6.15 is quoted below:-

**“ 6.15 Recovery of Arrears:**

*(a) The payments due to the Licensee shall be recovered as per provision of Section 56 of the Act, and arrears of land revenue as per the provisions of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958, as amended from time to time.*

*(b) Notwithstanding anything contained in any other law for the time being in force, no sum due from any consumer shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable as arrear of charges of electricity supplied, and the supply of the electricity shall not be disconnected by licensee for this reason.*

*Explanation- The date from which such charges becomes ‘first due’, needs to be correctly interpreted. If as a result of regular meter reading / inspection of installation of consumer, such charges/penalties levied as per this code or tariff*

*schedule, shall become first due counted from the due date of payment of such a bill, and such bill shall be provided to the consumer not later than two billing cycle for that category of consumer.”*

The provisions of the Electricity Act, 2003 and U.P. Electricity Supply Code 2005, as noted above, clearly indicate that a consumer is liable to pay charges for consumption of electricity in accordance with the tariff as fixed from time to time and there is a procedure for preparation of bill, sending of bill to the consumer and time frame for payment of the bill. The security/additional security is taken to cover up the advance payment for electricity to be consumed by the consumer. The consequences for not deposit of security/additional security has been provided in Section 47 of the Electricity Act, 2003 itself. Sub-section (1) of Section 47 clearly provides that if a person fails to give such security, the distribution licensee may refuse to give the supply of electricity or to provide the line or plant or meter for the period during which the failure continues. The submission of security is thus condition precedent for supply of electricity. The licensee being entitled not to give supply on failure of consumer to submit additional security, the question of realisation of amount of additional security does not arise. Sub-section (3) of Section 47 further provides that in the event person referred to in sub-section (2) fails to give such security, the distribution licensee may discontinue the supply of electricity for the period during which the failure continues. Section 56 of the Electricity Act, 2003 also empowers the licensee to disconnect the supply in default of payment. The security deposit/additional security deposit cannot be thus treated to be an arrear, which can be recovered as arrears of land revenue. The consequences of failure of giving additional security/security are provided in the Act itself. The provisions of the Electricity Act, 2003 and U.P. Electricity Supply Code 2005 does not indicate that in the event additional security is not provided, the licensee shall initiate proceedings for recovery of the additional security. The initiation of proceeding for recovery of the amount of additional security is not contemplated because licensee is empowered not to release the supply in the event of non deposit and further to disconnect in the event additional security is not given as contemplated under sub-section (2) of Section 47. The additional security/security is nothing but an advance payment and

when advance payment is not made the consequence as contemplated under the Electricity Act, 2003 have to take effect which nowhere indicates recovery in any manner.

In this context it is also relevant to refer Clause 6.1(h) of U.P. Electricity Supply Code 2005, which provides that bills of each consumer shall clearly reflect- (i) the arrears and (ii) amount of current bill whereas Clause 6.1(g) provides that bills shall contain details of- (1) the energy consumption; (ii) various charges; (iii) due date of payment, disconnection date; (iv) arrears and (v) security deposit detail, rebates. A perusal of provisions of U.P. Electricity Supply Code 2005 regarding billing indicate that details of security deposit has been separately provided. Sri Ravi Kant, learned Senior Advocate, appearing for the respondents has very fairly submitted that the amount of additional security is not an arrear.

What is the object and purpose of security deposit and what is its nature has been considered by the Apex Court in the case of ***Ferro Alloys Corporation Limited vs. A.P. State Electricity Board and another*** reported in 1993 Supp (4) S.C.C. 136. The Apex Court in the said case was considering the security deposit under the provisions of Electric Supply Act, 1948. The Apex Court laid down that very nature of the security deposit is one of the advance payment. Following was laid down in paragraph 106 of the said judgment:-

*“106. Thus, it will be clear that the true nature of the transaction in these cases is one of advance payment of charges for consumption of electricity estimated for a period of approximately three months. Such an advance is liable to be made good and kept at the stipulated level from month to month. It is open to the consumer to permit adjustment of the advance in the first instance. Thereafter, he could make good the shortfall in consumption charges and the security deposit before actual disconnection. Actually speaking, it is only after three months the disconnection takes place. Hence, it is like a running current account.”*

The Apex Court in the said judgment has also laid down that there is no relationship of debtor and creditor with regard to security

deposit and the relationship between consumer and the licensee is that of depositor and depositor.

The Division Bench in ***Mirzapur Electric Supply's*** case (supra) had occasion to consider the nature of security deposit and the specific issue as to whether the amount of security deposit can be recovered as arrears of land revenue. In the aforesaid case Section 47-A as added by Uttar Pradesh Amendment Act, 1972 in the Electricity Supply Act, 1948 was under consideration, which provided:-

***“47-A. Security – Notwithstanding anything in this Act and notwithstanding that no arrangements have been mutually agreed under Section 47 or that no regulations have been made in that behalf -***

***(a) the Board shall not be bound to comply with any requisition to supply electricity to a licensee unless the licensee, within fourteen days after the service on him by the Board of a notice in writing in that behalf, tenders to the Board such security as the Board deems sufficient;***

***(b) the Board shall be entitled to discontinue such supply if the licensee has not already given security, or if any security given by him has become invalid or insufficient, and such licensee fails to furnish security or to make up the original security to a sufficient amount, as the case may be, within seven days after the service upon him of notice from the Board requiring him so to do.”***

The security was demanded in accordance with Section 47-A from various licensees. One of the arguments, which was raised in the writ petition, was that the amount of security cannot be recovered as arrears of land revenue. The Division Bench in that context considered whether the amount of security can be treated to be a dues to a Government electrical undertaking. The Division Bench in paragraph 19 of the said judgment specifically dealt with the said issue and laid down that the amount of security cannot be called dues. Following was laid down in paragraph 19 of the said judgment:-

***“19. The other additional point raised by this petitioner is that the amount of security cannot be recovered as arrears of land revenue. It has already***

*been mentioned above that after demanding security of Rupees nine lacs from this petitioner by notice dated February 17, 1973, the Board sent another notice dated May 25, 1973, to the petitioner, threatening to recover the amount as arrears of land revenue under the provisions of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958. It is urged by the learned counsel for the petitioner that the provisions of the 1958n Recovery Act cannot be utilised for realising the amount of security demanded by the Board. The contention seems well founded. The provisions of this Act are applicable only to "dues payable by a consumer to a Government electrical undertaking." We are satisfied that the amount of security demanded cannot be called "dues". The word "dues" connotes an amount owed as a debt. In the present case the amount of security demanded is not owed as a debt to the Board. It is only an amount demanded as a condition to the supply of electricity by the Board to the licensee. The licensee is not obliged to pay this amount, if it chooses, it may not pay the amount and may take the consequence of its supply being discontinued. It is thus clear that the amount of security demanded by the Board is not "dues" payable by the petitioner to the Board. That being so, the provisions of the 1958 Recovery Act cannot be utilised for recovering the amount of security demanded from the petitioner. The notice threatening to recover the amount as arrears of land revenue under the 1958 Recovery Act is without authority of law and is liable to be quashed."*

It is relevant to note that present are not the cases where without giving the security supply has been started, rather present are the cases where additional security has been demanded as condition of releasing additional load.

Reliance has also been placed on the letter dated 6<sup>th</sup> October, 2008 (Annexure-6 to writ petition no.38 of 2009) issued by the Director (Licensing), U.P. Electricity Regulatory Commission, Lucknow. The said letter was issued on the subject "Load Factor Rebate for consumers of different category". In the said letter the view has been expressed that non deposit of additional security falls within the meaning of arrears. The definition of dues as per the Law Lexicon "something which is behind in payment or which remains unpaid, implying a duty and a default; it signifies money unpaid at the due time" has been relied.

Reliance has been placed in the case of ***Besant Ram Ralla Ram vs. Gurucharan Singh*** referring it to be a Supreme Court judgment. The word “dues” has been defined in Law Lexicon (P. Ramanatha Aiyar) Second Edition. In the case of ***Custodian General of Evacuee Property, New Delhi and others vs. Harnam Singh*** following was laid down while considering the word “due” in paragraph 6 of the said judgment:-

*“6. The express “due” is defined by Webster to mean that which is owed; that which custom, statute or law requires to be paid and by Worcester that which anyone has a right to demand, claim or possess; that which can justly be required. A debt or other obligation is due when it is legally enforceable, i.e. when the creditor has a right to demand payment and to enforce collection (Etz v. Perlman 143 A 548 at P. 549: 13 Words and Phrases 442(A).*

.....”

Clause 4.49 of the U.P. Electricity Supply Code 2005, as noted above, uses the words “recovery of any dues”, which clearly mean that the dues must be recoverable by any process as provided under the Electricity Act, 2003 or the U.P. Electricity Supply Code 2005. As noticed above, the scheme of the Act and the Code does not indicate that any process for recovery of additional security is contemplated or provided for because of the reason that the consequences for non deposit of additional security has been clearly provided in the Act itself. The payment of additional security being condition for release of additional load, in the event it is not paid the additional load is not to be released and further supply can be discontinued. No more is contemplated with regard to non payment of additional security. Thus it is held that additional security to be deposited by the petitioners cannot be treated to be any dues, which is to be recovered from the petitioners. In view of the above, Clauses 4.49 of U.P. Electricity Supply Code 2005 is not attracted and the demand by the respondents of giving bank guarantee for the amount of additional security, which has been stayed by this Court in different writ petitions is unjustified.

The case of ***Besant Ram Ralla Ram*** referred to in the letter dated 6<sup>th</sup> October, 2008 of the Director (Licensing) has been referred as

the judgment of the Supreme Court which has been refuted by counsel for the petitioners and it is submitted that the said judgment is judgment of Punjab High Court reported in A.I.R. 1957 Punjab 578 and in the said case question of payment of arrears of rent by a tenant in suit filed by landlord for ejectment was under consideration. The Court in the said case was considering the concept of “arrears and due” in context of payment of rent by tenant to a landlord, which judgment is not applicable with regard to payment of additional security. The submission of the petitioners has substance that the said case was not on the issue, which is subject matter of consideration in the present case. The Division Bench judgment in ***Mirzapur Electric Supply’s*** case (supra) fully covers the issue.

In view of the foregoing discussions, it is held that Clause 4.49 of U.P. Electricity Supply Code 2005 was not attracted in the case where demand of additional security has been stayed by this Court in different writ petitions. The petitioners were not liable to submit bank guarantee demanded from them as per Clause 4.49 of U.P. Electricity Supply Code 2005. The petitioners are entitled for release of the bank guarantee in case it has already been submitted and continuing. The writ petitions challenging the demand of bank guarantee with regard to amount of additional security, which has been stayed by this Court, deserve to be allowed.

In Writ Petition No. 41222 of 2009 by the impugned order dated 22<sup>nd</sup> July, 2009 petitioner was asked to deposit following two amounts – (i) an amount of Rs.13,56,502/- towards load factor withdrawn amount and (ii) an amount of Rs.46,08,600/- as additional security for the financial year 2008-09. The bank guarantee was demanded to cover both the amounts. In Writ Petition No.32452 of 2009 the amount for which bank guarantee was demanded by the impugned order dated 29<sup>th</sup> June, 2009 was an amount of Rs.13,31,106/-, which amount related to withdrawn of load factor rebate. Insofar as the additional security is concerned, the order dated 22<sup>nd</sup> July, 2009 deserves to be set-aside in view of the foregoing discussions, however, withdrawal of rebate on load factor is different from demand of additional security. The rebate of

load factor is given in the electricity bill of a consumer which bill is raised on the basis of consumption. The rebate was given in the bills, which has been subsequently withdrawn. The rebate having been withdrawn, the said amount becomes due on the petitioner. In these writ petitions the orders withdrawing the load factor rebate are not in issue and challenging the said order writ petitions have already been filed by the petitioners, which are pending, hence it is not necessary for us to express any opinion in that regard. With regard to withdrawal of the load factor rebate suffice it to say that the amount pertaining to withdrawal of load factor rebate can be said to be dues which are liable to be paid by the petitioner and the demand of bank guarantee with regard to the said amount cannot be faulted with.

In result, Writ Petition Nos.38 of 2009, 27186 of 2009 and 24557 of 2009 are allowed. Writ Petition No.41222 of 2009 is partly allowed quashing the impugned order dated 22<sup>nd</sup> July, 2009 insofar as it relates to demand of bank guarantee for additional security amount and Writ Petition No.32452 of 2009 is dismissed.

Parties shall bear their own costs.

Date: October 15, 2009.  
Rakesh